

GOTU pitch deck

Both benches are in and agree, so this deck is a rejection deck: it records why we're not buying, where our own analysts made mistakes along the way, and what would reopen the name. Writing it now from the court record.

PITCH — GOTU — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: REJECT — no position into the unconfirmed late-August earnings report. Both the prosecution and the defense-side reviewer reached the same answer: the “stock is backed by cash” story is an accounting illusion, and what’s left is a deteriorating business under absolute founder control.

What we believe

Gaotu Techedu (NYSE: GOTU, \$1.68, roughly \$407M market value) is a Chinese online tutoring company that looks, at first glance, like a stock trading below its pile of cash. We believe that pile is mostly not the shareholders' money, and that the business behind it is getting worse at the margin:

- **The cash “floor” doesn’t survive the balance sheet.** The company holds about RMB 3.26 billion of cash and short-term investments — but it also owes RMB 4.28 billion in total liabilities. Even the most generous honest netting (subtracting only the borrowings and related-party debts, and treating customer prepayments as an obligation the company services at cost rather than refunds at face value) leaves net liquid backing of roughly 30–72% of the market cap. Under stricter netting it's far less. Under no defensible math is it *more than* the market cap, which is what the original bull case claimed.
- **A large share of the “cash” is customer float.** Prepaid, undelivered tuition (deferred revenue of ~RMB 1.79 billion) equals about 60% of the cash and short-term investments. That money belongs to future course delivery, not to us.
- **The profit engine is decelerating while the marketing bill grows.** In Q1 2026, net income fell 72% year over year, operating income fell 80%, selling expenses reached 50 cents of every revenue dollar, and operating cash flow was an *outflow* of RMB 828 million — 74% worse than a year earlier. New cash collections (gross billings, +12.1%) are now growing *slower* than recognized revenue (+13.2%), meaning the backlog that fuels the reported “beats” has started draining rather than building.
- **The control structure caps our upside.** Founder Larry Chen holds roughly 90.9% of the voting power (not independently re-verified, but consistent with filings), the company settled a securities-fraud matter in its GSX era, and the debt sits inside the onshore contractual entities (the “VIE” structure) that US holders own only by contract. If the stock ever does trade far below true net cash, the most likely resolution is Chen taking it private at his price, not ours.

What the market believes

At \$1.68 — down 59% from the 52-week high and 20% above the 52-week low — the market is pricing GOTU as a melting-ice-cube Chinese education stock: some credit for the revenue growth and the buyback (~RMB 704 million repurchased through June 1, 2026, per the company), heavily discounted for the collapsing profitability, the cash burn, the China/VIE legal wrapper, and the founder's total control. The tape has been drifting *toward* the low, not bouncing off it. Whatever “cheap on cash” story exists is one many screens surface — the market has seen it and declined it.

Why we might have edge

Honestly: less than the original pitch claimed. What survives as genuinely non-consensus knowledge from this review:

1. **We did the netting the screens don't.** We now know, line by line from the company's own Q1 balance sheet, exactly how much of the liquid stack is spoken for — and we know the corrected range (30–72% of market cap) rather than either the bull's fantasy (96%+) or our own prosecutor's initial overshoot (7%). That gives us a *real* re-entry price, below which the math genuinely does back the stock.
2. **We caught the billings crossover early.** Gross billings growth slipping below revenue growth is a one-quarter, 1.1-point signal — small, but it's the leading indicator, and most coverage watches the lagging one.
3. **We know what would prove the cash is reachable** (the annual report's consolidating schedule showing money at the offshore parent) and we know it hasn't been shown yet.

Why it might be priced in

- The stock has *already* fallen 59% from its high; the market has done a lot of the discounting we're describing.
- The bear case's freshest facts are all in the company's own June 2 press release — public for two months.
- The strongest remaining bull point is real: deferred revenue grew 24.1% and directly feeds the upcoming quarter's reported results, so a headline “beat” at the late-August print is the *modal* outcome. Our billings-crossover concern threatens the second half of the year, not the next headline. Shorting or avoiding into a likely beat is only right because the balance sheet gives no floor if we're wrong — it is not because we expect a bad headline.
- The buyback is real money (~\$98M validated offshore by the repurchases themselves) and supports the price.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Price $\approx$ 0.96 $\times$ liquid assets — a cash floor” (original bull leg)	Fetches the Q1-2026 condensed balance sheet from the company’s results release (primary source)	Total liabilities RMB 4,280M vs liquid assets RMB 3,265M; non-deferred liabilities alone are RMB 2,488M. The 0.96 $\times$ figure netted nothing.	REFUTED
Prosecutor’s counter-claim: “net backing is only ~7% of market cap”	Second bench re-ran the arithmetic	Our own bench erred: it subtracted the full accrued-expense line <i>and</i> separately charged the cost of delivering prepaid courses — double-counting the same obligation. Corrected range: ~30% (prepayments refunded at face) to ~72% (serviced at cost) of market cap.	CORRECTED — bench error
RMB 417.5M of borrowings exist inside the VIE entities	Same balance sheet, line labels read verbatim	Confirmed, labeled “without recourse to the Group” — which cuts both ways: creditors can’t reach the parent, but the assets inside the VIEs service that debt.	CONFIRMED
Profitability deterioration (op income –80%, selling = 50% of revenue)	Balance sheet / P&L in the results release, cross-checked against the SEC 6-K (https://www.sec.gov/Archives/edgar/data/0001768259/000119312526252366/)	Selling expenses RMB 844M on revenue RMB 1,689M = 50.0%; operating income RMB 6.9M vs 34.8M.	CONFIRMED
Gross billings growth crossed below revenue growth	Pack’s primary 6-K excerpt	+12.1% vs +13.2%. Real, but one quarter and a 1.1-point gap — a warning, not yet a trend.	CONFIRMED (narrow)
Q1 operating cash outflow RMB 828M, 74% worse YoY	Sitting in the evidence pack’s own excerpt; the prosecution <i>missed it</i> ; the review bench surfaced and verified it	The freshest cash datum contradicts the bull’s full-year-2025 cash-flow-growth leg.	CONFIRMED — bench omission, caught on review
Chen holds ~90.9% of voting power; prior fraud settlement	13G/A in the filing list + secondary sources	Consistent, but the voting percentage was not independently re-verified from a primary filing.	PLAUSIBLE, not fully verified
Where the RMB 2.07B of short-term investments actually sits (onshore VIE vs offshore parent)	Attempted to pull the 20-F consolidating schedule from SEC	Fetch was blocked (403). Unknown. This is the single most important unverified fact.	NOT CONFIRMED — open gap
Earnings date	Searched for a company press release naming the Q2 date	None issued yet. Pack’s derived date is 2026-08-27; last year’s analogue was Aug 26.	NOT CONFIRMED
Short interest / crowding / analyst coverage	Broker data access was permission-denied this session	Unchecked.	NOT CHECKED — gap
Tape framing	Runner audit of both benches	Both benches misquoted the 52-week drawdown sign (wrote +56/+59% where the pack said –56/–59%), and the prosecution worked from a stale \$1.80 price, calling the stock “bounced” when at \$1.68 it is drifting toward the low. No verdict depended on it, but it’s recorded.	BENCH ERRORS — recorded

PROPOSED ENTRY BANDS

The court's answer is no entry at any current price. There is no buy band, no add band, and no position to trim. What follows are the **reopen conditions**, priced from the benches' own corrected math (assumes ~242M ADS-equivalent shares at ~7.2 RMB/USD):

- **Price reopen — below ~\$1.21:** the *generous* corrected net-liquid value (RMB ~2,118M ≈ \$294M, treating customer prepayments as serviced at ~30% cost rather than refunded) per share. Below this, the market is paying less than even obligation-burdened liquid assets and the situation must be re-courted — **re-review, not auto-buy**, because the take-private-at-his-price risk *rises* as price falls under a 90.9% controller.
- **Hard-floor reference — ~\$0.50:** the strict corrected floor (RMB ~873M, prepayments at face value). Below this the math is unambiguous even on harsh netting; same rule — re-court, never auto-buy a falling knife.
- **Fundamental reopen (any one suffices, at any price):**
 1. The 20-F consolidating schedule (or any filing) shows **≥\$150M of the investment stack held at the offshore Cayman/HK parent, unencumbered** — the cash becomes provably shareholders' money.
 2. Q2 or later results show **gross billings growth back above revenue growth** — the leading indicator re-accelerates.
 3. **Fresh buyback dollars disclosed after June 1, 2026** at current prices — the company itself validating offshore cash at these levels.
- **Sizing if reopened:** to be set by the re-court; the control and cash-location tails mean any future position would be small and defined-risk regardless of price.
- **Catalyst date:** Q2 2026 results, **on or about 2026-08-26/27 — unconfirmed**; no company press release has named the date yet.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 0.5 (deck-provisional: strict corrected floor per ADS (RMB ~873M, prepayments netted at face value) — unambiguous cash backin)
- filing watch: 6-K until 2027-02-09 (deck-provisional: Q2 results: billings-vs-revenue crossover check, operating cash flow, fresh post-June-1 buyback dollar)
- dated pack GOTU|2026-08-27: GOTU: Q2 2026 results (pack-derived; prior-year analogue Aug 26 — no company PR yet) (date confirmed=False)

What remains unverified

1. **Cash location** — whether the RMB 2.07B of short-term investments sits onshore inside the VIEs (hard for ADS holders to reach; tuition-prepayment custody rules may encumber part of it) or

offshore at the parent. The SEC fetch of the annual report's consolidating schedule was blocked. This is the decisive unknown for any future bull case.

2. **Chen's exact voting percentage** — consistent across sources at ~90.9% but not re-verified from a primary filing this session.
3. **The composition of the RMB 1,371M accrued-expenses line** — if it is largely refund reserves, the strict floor math changes again.
4. **Q2 earnings date** — no company confirmation yet.
5. **Short interest, analyst coverage, and crowding** — broker data access was denied all session; the tape reads rest entirely on the evidence pack.
6. **Whether any buyback dollars have been spent after June 1, 2026** — the disclosed RMB 704M is cumulative and multi-year (average price paid ~\$2.96/ADS, well above today).

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